

1Q beat despite the high base

Quick Note

1Q26: Solid beat driven by resilient PC titles and margin expansion

NetEase (NTES) delivered robust 1Q26 results, beating expectations across both the top and bottom lines. This outperformance was driven by the resilience of evergreen titles—led by the PC version of the *Fantasy Westward Journey (FWJ)* series and *Where Winds Meet (WWM)*—as well as significant gross margin (GM) expansion, which increased by 5.3pp y-y to 69.4%. We maintain our Buy rating for NTES, as the anticipated launch of the upcoming title *Sea of Remnants* could serve as a catalyst to re-accelerate gaming growth in the second half of the year.

Revenue breakdown

Total net revenue rose 6% y-y to CNY 30.6bn, exceeding the Bloomberg consensus by 4%. The Online Game and Value-Added Services (VAS) segment was particularly strong, with revenue increasing by an impressive 7% y-y (3% above Nomura estimates). Game growth was primarily driven by legacy evergreen PC titles, specifically the PC version of the FWJ series, WWM (both domestic and overseas versions), and the PC version of *Tianxia*. Notably, management highlighted that peak concurrent users (PCU) for the PC version of the FWJ series reached a record high of 3.9mn in 1Q26.

Based on our calculations, cash revenue grew by an estimated 3.7% y-y, aligning with our forecasts. We view this growth as commendable given the high base of comparison from the prior year.

Margin expansion and profitability

The blended GM reached 69.4%, marking a 5.3pp y-y increase and coming in 4.7pp above consensus. The gaming segment achieved a record-high GM in NTES's recent history of 74.8% (up 6.0pp y-y and significantly outperforming our 70% estimate). Management attributed this substantial margin improvement primarily to a favorable shift in the revenue mix, with higher-margin PC titles accounting for a larger share of revenue, along with lower revenue-sharing fees charged by app stores.

Non-GAAP operating profit increased 17% y-y to CNY13.3bn, surpassing our estimate by 12%. Consequently, the non-GAAP operating margin expanded by 3.9pp y-y to 43.4%, well ahead of our projected 39.8%, driven by the higher GM. Non-GAAP net profit remained flat y-y at CNY11.3bn, which nonetheless beat the consensus estimate by a sizable 13%.

Pipeline and corporate updates

Regarding the pipeline, NetEase management indicated that its upcoming title, *Sea of Remnants*, is slated for a 3Q26 release. We anticipate an early 3Q26 launch (e.g., July) to maximize exposure during the peak summer gaming season.

Finally, the company did not provide an update on the timeline for converting its Hong Kong-listed shares from a secondary to a primary listing. Under prevailing HKEX rules, NetEase has a one-year window starting from February 2026 to complete this conversion.

Maintain Buy with SOTP-based TP of USD155

We maintain our Buy rating and SOTP-based TP of USD155, implying an FY26F P/E of 17x, vs an FY26F P/E of 13x currently.

Rating Remains	Buy
Target price Remains	USD 155.00
Closing price 20 May 2026	USD 116.82

Research Analysts

China Internet & New Media

Jialong Shi - NIHK

Jialong.shi@nomura.com
+852 2252 1409

Rachel Guo - NIHK

rachel.guo@nomura.com
+852 2252 1400

Fig. 1: NTES – 1Q26 results review

1Q26 results review									
CNYmn	1Q26	4Q25	1Q25	YoY	QoQ	Cons.	vs Cons.	NMR Est	vs NMR
Revenues	30,591	27,547	28,829	6%	11%	29,514	4%	29,920	2%
Gross profit	21,217	17,692	18,479	15%	20%	19,072	11%	19,460	9%
Gross margin	69.4%	64.2%	64.1%	5.3ppt	5.1ppt	64.6%	4.7ppt	65.0%	4.3ppt
Non-GAAP op	13,273	9,166	11,393	17%	45%	NA	NA	11,894	12%
Non-GAAP op margin	43.4%	33.3%	39.5%	3.9ppt	10.1ppt	NA	NA	39.8%	3.6ppt
Non-GAAP net profit	11,275	7,073	11,237	0%	59%	10,003	13%	10,434	8%
Non-GAAP net margin	36.9%	25.7%	39.0%	-2.1ppt	11.2ppt	33.9%	3.0ppt	34.9%	2.0ppt
Non-GAAP EPADS (CNY)	17.46	10.95	17.51	0%	59%	15.47	13%	16.27	7%

Source: Bloomberg Finance L.P., company data, Nomura estimates

Fig. 2: NTES: Operating metrics review

Segment results								
CNYmn	1Q26	4Q25	1Q25	YoY	QoQ	NMR Est	vs NMR	% of Rev
Revenue								
Game and related VAS	25,713	21,967	24,048	6.9%	17.1%	24,890	3%	84%
Youdao	1,348	1,565	1,298	3.8%	-13.8%	1,418	-5%	4%
Cloud Music	1,981	1,968	1,858	6.6%	0.7%	1,988	0%	6%
Innovative businesses and others	1,549	2,047	1,624	-4.6%	-24.3%	1,624	-5%	5%
Total net revenue	30,591	27,547	28,829	6.1%	11.1%	29,920	2%	100%
Gross profit								
Game and related VAS	19,231	15,494	16,553	16.2%	24.1%	17,423	10%	
Youdao	602	705	614	-1.9%	-14.6%	638	-6%	
Cloud Music	734	682	683	7.6%	7.6%	734	0%	
Innovative businesses and others	650	810	630	3.2%	-19.8%	666	-2%	
Total gross profit	21,217	17,692	18,479	14.8%	19.9%	19,460	9%	
Gross profit margin								
Game and related VAS	74.8%	70.5%	68.8%	6.0ppt	4.3ppt	70.0%	4.8ppt	
Youdao	44.7%	45.1%	47.3%	-2.6ppt	-0.4ppt	45.0%	-0.3ppt	
Cloud Music	37.1%	34.7%	36.7%	0.3ppt	2.4ppt	36.9%	0.2ppt	
Innovative businesses and others	42.0%	39.6%	38.8%	3.2ppt	2.4ppt	41.0%	1.0ppt	
Gross profit margin	69.4%	64.2%	64.1%	5.3ppt	5.1ppt	65.0%	4.3ppt	

Source: Company data, Nomura estimates

Appendix A-1

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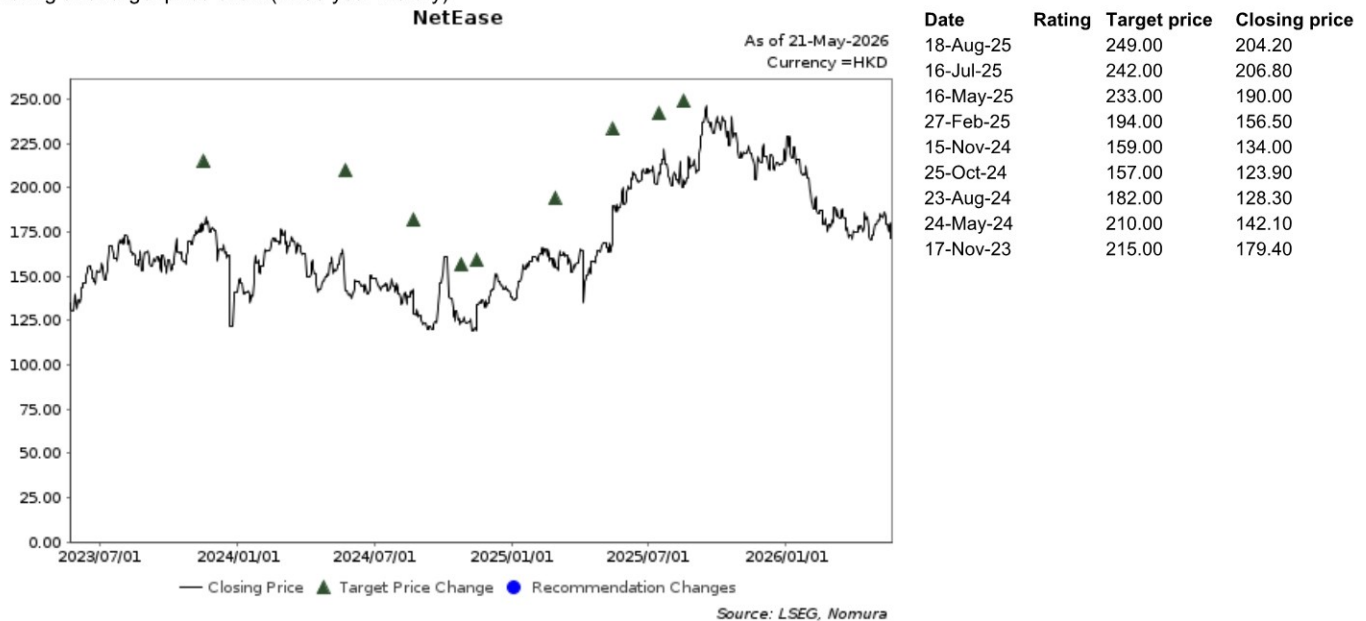
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
NetEase	9999 HK	HKD 180.40	20-May-2026	Buy	N/A	A10
NetEase	NTES US	USD 116.82	20-May-2026	Buy	N/A	A10

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NetEase (9999 HK)

HKD 180.40 (20-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

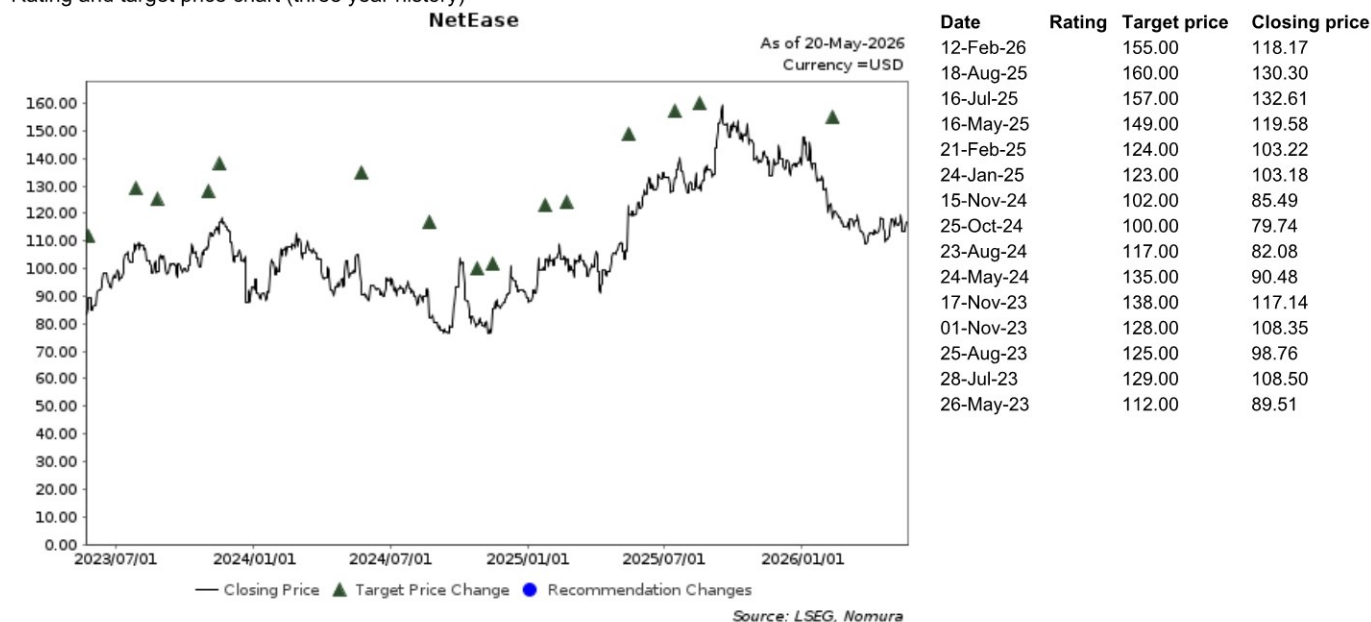
Valuation Methodology We value the company's online gaming business at US\$78bn based on 17x FY26F P/E. We value NTES' music business at USD4.2bn based on its latest market cap. The resulting TP is HKD249. The benchmark index for the company is the Hang Seng Index.

Risks that may impede the achievement of the target price Downside risks include: 1) bigger margin contraction from incubated businesses; and 2) lower-than-expected grossing of legacy mobile titles like FWJ.

NetEase (NTES US)

USD 116.82 (20-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value the company's online gaming business at US\$74bn based on 17x FY26F P/E. We value NTES' music business at USD2bn based on its latest market cap. The resulting TP is USD155. The benchmark index for the company is Nasdaq Composite.

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